

AP AI Readiness Diagnostic

A 35-question working session that tells a Finance leader whether they have enough evidence to design an AP agent — and which one to design first.

How to use this diagnostic

Answer with a small working group: AP lead, controller, P2P/procurement ops, finance systems, and someone who owns DoA. Ninety minutes is enough for a first pass. Unknown is a valid — and common — answer. Unknown is itself a score.

EVIDENCE · AP-003 / AP-007 / AP-016

Independent AP research still places exception rates on the order of one invoice in seven to one in five, depending on vintage. If you cannot state yours, you are not ready to promote an agent. You are ready to measure.

Maturity model

Stage	Name	What is true	What is not yet allowed
0	Unmeasured	Invoices move; metrics are anecdotal.	Any agent above Observe
1	Visible	Volume, exceptions, cycle time exist for 90 days.	Execute
2	Ruled	Tolerances, DoA, duplicate keys, bank-change path are written.	Managed autonomy
3	Instrumented	Agents run in shadow against labelled history.	Production writes
4	Governed	Charters, owners, promotion gates, incidents.	Global Level 4
5	Earned scale	One or two agents at Level 3 in a bounded population, with evidence.	Removing the AP team

Scoring (200 points)

Score each question 0–4 (0 unknown/absent, 4 institutionalised). Band: 0–79 Foundation · 80–119 Instrumented · 120–159 Governed · 160–200 Ready to promote a first agent. The band is a planning aid, not a certification.

ID	Theme	Question	Answer type
Q01	Volume	Monthly invoice volume (all entities in scope).	Numeric
Q02	Spread	Number of legal entities and ERP instances.	Numeric / list
Q03	Channels	Share of invoices arriving as paper/PDF/email vs structured e-invoice.	%
Q04	PO coverage	Share of invoices that should have a PO under policy, and share that actually do.	% / %
Q05	Match path	Two-way, three-way, or mixed — and who decides.	Choice
Q06	Exception rate	Your measured exception rate, last 90 days. If unknown, say unknown.	% or Unknown
Q07	STP	Your measured straight-through rate. If unknown, say unknown.	% or Unknown
Q08	Cycle time	Median intake-to-post days.	Days or Unknown
Q09	Cost	Fully loaded AP cost per invoice, if you calculate it.	USD or Unknown
Q10	Headcount	AP FTE (shared services + in-country) touching invoices.	FTE

ID	Theme	Question	Answer type
Q11	GR	Missing-GR as a share of three-way invoices.	% or Unknown
Q12	Duplicates	Confirmed duplicate invoices and duplicate payments, last 12 months.	Count
Q13	Approvals	Median approval cycle and share stalled >48 hours.	Days / %
Q14	DoA	Is DoA a system control or a spreadsheet?	Choice
Q15	Statements	How many strategic vendors are statement-reconciled, and how often?	Count / cadence
Q16	Close	Does AP produce a completeness pack (parked, blocked, GRNI, residuals)?	Y/N
Q17	Master data	Who can change vendor bank details, and is there out-of-band verify?	Text
Q18	SoD	Can the same person prepare and release a payment?	Y/N
Q19	AI today	Which AP tasks already use ML/LLM/IDP? At what autonomy?	Text
Q20	Incidents	Any payment diversion, prompt-injection scare, or unauthorised bot action?	Y/N + note
Q21	Audit	Last audit findings on AP completeness, duplicates, or access.	Text
Q22	Data access	Can you export invoices, PO, GR, workflow, vendor-change log without a six-month IT project?	Y/N
Q23	Owners	Named process owners for AP, P2P, DoA, MDM, payments.	Names/roles
Q24	Policy	Written AI-use policy that covers finance data and agents.	Y/N
Q25	Testing	Do you keep a labelled historical invoice set for testing?	Y/N
Q26	Vendor risk	Are model/API vendors in your third-party risk process?	Y/N
Q27	Works council / privacy	Any consultation required before monitoring employee follow-up?	Y/N
Q28	First pain	If you could fix one AP failure mode in 60 days, which?	Open
Q29	Constraint	What will actually stop you: ERP freeze, controls, skills, budget, politics?	Open
Q30	Success	What evidence would convince the CFO this was worth doing?	Open
Q31	Scope honesty	Are payments, T&E, intercompany and employee expenses in or out?	List
Q32	Shared services	Is AP centralised, hub-and-spoke, or in-country?	Choice
Q33	Language / sites	Invoice languages and sites in scope.	List
Q34	Tolerance	Are match tolerances documented, versioned, and owned?	Y/N
Q35	Supplier desk	Hours per week on supplier 'where is my payment' traffic.	Hours or Unknown

Opportunity heatmap — ten agents to consider first

If this is your pain	First agent	Why first	Start level
Intake chaos / OCR	A01 Intake	Stops garbage entering match	0
Duplicates and near-dupes	A10 + A02	Payment-risk, high evidence	1
Missing GR	A05 + A09	Visible ageing, human owners	1
Price / qty variance	A03 Matching	Deterministic core	1

If this is your pain	First agent	Why first	Start level
Approval stalls	A07	No write to money	1
Supplier inbox	A08	Draft-only until evidence	2
Statement fights	A11	Bounded vendor set	1
Close scramble	A13	Monthly rhythm	1
No one owns the backlog	A04 + A16	Operating system	1
Bank detail changes	A12 review only	Never autonomous	1

Baseline KPI worksheet

Capture last 90 days: volume, exception %, STP %, median cycle days, missing-GR %, approval stall %, confirmed duplicate payments (count), AP FTE, fully loaded AP cost. Formulas are in the Professional calculator. Do not use Ardent or IOFM figures as *your* baseline — they are external reference only (ledger AP-001–AP-019).

Business-case starter

Hours released $\approx$ volume $\times$ exception rate $\times$ minutes per exception $\times$ expected reduction. Use a **range** (conservative 10–15% exception-time reduction in a first bounded pilot; do not claim 50% on day one). Controller must attest savings before they appear in a steer pack (FIN-06).

NOT A PROMISE

This diagnostic does not certify control effectiveness, regulatory compliance, or savings. It tells you whether you have enough evidence to design an agent — not whether you should turn one loose.